

Sanlam Kenya Results

Audited Financial statements for the period ended 31st December 2016

1. Introduction

The Board of Directors of Sanlam Kenya PLC (“Sanlam”) is pleased to announce the Group’s audited results for the year ended 31st December 2016.

2. Key Features

- Profit before tax at KShs. 317m (2015: KShs. 54m)
- Total assets up by 5% to KShs. 28.4b (2015: KShs. 27.1b)
- Group Embedded Value is at KShs. 4.7b (2015: KShs. 5.2b)
- Value of New Business is at KShs. 88m (2015: KShs. 108m)
- Group Capital Adequacy Requirement (Solvency) covered 2.60 times (2015: 2.83 times)

3. Accounting policies

The Group’s accounting policies comply with International Financial Reporting Standards (IFRS) as well as the Kenya Companies Act. These policies are consistent with those applied in prior years.

4. The Economic Environment

The Kenya National Bureau of Statistics data indicates the economy grew by 5.7% in the third quarter of 2016, slower than the 2015 GDP growth rate of 6.0%. The decline in the GDP growth rate was reflected in slower growth in gross premiums in the insurance industry of 7.3% from 12.8% in 2015. Overall, the economy is expected to have expanded at a slower rate for the full year 2016.

In 2016, overall market dynamics were shaped by the amendment to the Kenyan Banking Act that capped interest rates, rate increases by the United States Federal Reserve, Brexit, economic pressure in Europe and commodity price pressures in East Africa. The Kenya Shilling weakened against the US Dollar but strengthened against major European and East African currencies. Capping of interest rates influenced the convergence of savings and lending rates. The Nairobi Securities Exchange continued to shed value for a second year running. The overall market Price Multiple closed at a 10 year low of 10.5 times in 2016 compared to the 10 year average Price Earnings Multiple of 13.7 times The Central Bank Rate was adjusted downwards to 10.0% to close the year from a high of 11.50% earlier in the year on the back of stability in the macroeconomic environment. The inflation remained within the target range of 5 to 7.5% closing the year at 6.35% (2015: 8.01%).

Major trends in the insurance sector continue to be driven by demographic shifts, macroeconomic conditions, competitor activity and regulatory reforms. Competition from existing players and new entrants continues to exert downward pressure on pricing, impeding growth of premiums. The combined impact of a weak domestic currency against the US Dollar and inflation have exerted negative pressure on operating costs and claims. Some of the claims have a dollar component. A higher level of growth in operating costs relative to the top-line growth and lower investment returns are likely to have eroded overall 2016 industry operating profits.

Regulatory pressure heightened towards the end of 2016 with the gradual roll out of the new Risk Based Capital requirements. To prepare for full compliance in 2018, the Capital Adequacy Ratio (CAR) assessment for 2016 was based on the new Risk Based Capital guidelines. This and other developments contained in the Insurance (Amendment) Act 2016 are expected to result in actions aimed at de-risking balance sheets of most players, attainment of more balanced product portfolios and operational efficiency so as to minimise the impact of the new solvency regime.

5. Financial Overview

The Group profit before tax of KShs. 317m increased from KShs. 54m reported in December 2015. This is mainly attributable to improved performance by the General insurance and investments businesses.

The Group results are analysed as follows:

	31 Dec 2016	31 Dec 2015
	KShs' M	KShs' M
Operating profit	549	512
Investment income on shareholders' assets	(232)	106
Goodwill impairment	-	(564)
Profit before tax	317	54
Tax	(246)	(27)
Net profit for the period	71	27
Other Comprehensive income	23	-
Net profit and other comprehensive income	94	27
Comprehensive income attributable to:		
Owners of the parent	106	(62)
Non-controlling interests	(12)	89

Included in the operating profit are the results of our life insurance, general insurance, investments, property and loans businesses. The life insurance and investment management operations exceeded the 2015 operating profit levels while the property and loans businesses' performance declined.The performance of the general business showed a significant improvement in its first full year in the Group.

Life Insurance:Gross written premium declined by 5% to KShs. 4.4b from KShs.4.6b achieved in 2015. Premium income growth was hampered by competitor activity in the market that affected growth in the corporate business, while our retail business was impacted by the expected effects of streamlining the distribution channels and agency force aimed at improving productivity going forward. These challenges in the year under review contributed to the negative value of new business. Investment portfolio earnings increased by 50% from KShs. 1.4b in 2015 to KShs. 2.1b in 2016 driven by good investment returns from higher exposure to bonds and our selection of the stocks on the NSE. Policyholder benefits increased from KShs. 4b to KShs. 4.3b attributable to maturities as well as an increase in annuity payments following strong new annuity business sales. This is also a reflection of the value we create for our customers.

Pensions: The declared interest on individual pension plans and deposit administration for the year 2016 is 10.5%. This ranks above the market average for pensions in 2016 of 8.0% and compares very well with the top quartile return of 9.4%. During the same period, the NSE returned a negative 21.1% return as measured using the NSE20 index. This is a reflection of the value we continue to create for our customers who save with us.

General Insurance:The post-acquisition business transformation program for the general insurance unit has started to bear fruit with significant improvement attained in our engagement with customers and business partners. As a result, gross written premium grew by 58% to KShs. 1b from KShs. 633m achieved in 2015. Investment returns decreased by 100% from KShs. 210m in 2015 to KShs. 1m in 2016 mainly attributable to realised fair value losses on investment property disposals. Policyholder benefits and claims decreased by 75% from KShs. 538m to KShs. 135m driven by the strategic decision to discontinue underwriting of the PSV line of business as well as improved non-motor to motor business mix. The general insurance business operating loss before tax reduced by 92% to KShs. 24m from KShs. 302m loss reported in 2015.

Income from property sales: Income from property sales declined due to a depressed property market.

Asset Management: Fee income from our investment business increased by 31% to KShs. 156m from KShs.119m on account of an impressive 51% growth in Assets Under Management (AUM) and performance fees earned based on significant outperformance of benchmarks. The Operating Profit of KShs. 46m increased from KShs. 24m in 2015 mainly attributable to the growth in revenues in line with the growth in AUM as well as cost containment.

The business also delivered stellar investment returns for all its clients substantially outperforming all client benchmarks. A higher allocation to bonds and credit instruments underpinned the outperformance during the year. The stock selection equally delivered good results returning significant positive performance compared to the NSE 20 index which had a -21.1% return and the NASI index which also delivered a -8.5%. On 5 year, 3 year and 1 year basis the returns for all clients were significantly above benchmark a reflection of the wealth we continue to create for our clients.

6. Dividends

The introduction of the new Risk Based Capital regime in 2018 will significantly increase the capital requirement for the Group's life and general insurance businesses. The Board therefore does not recommend payment of a dividend for the year ended 2016.

7. Looking ahead

The group achieved numerous milestones despite a challenging year. The year saw us successfully rebrand to Sanlam, fully integrate the general insurance business to the group and complete restructuring of the rest of our businesses. Going forward, we will keep investing in our operational capacity to better serve our target customer needs and fully exploit growth opportunities we have identified and those that will emerge in future. We are confident that our efforts will be reflected in improved performance in the coming year

The financial statements presented are extracts from the books of Sanlam Kenya for the year ended 31st December 2016. The financial statements were audited by PricewaterhouseCoopers who expressed an unqualified audit opinion.

For and on behalf of the Board

Dr JPN Simba, OGW, MBS (Chairman)

Directors

Dr JPN Simba, M Kibati, J Magabe***, S Mudhune, R Patel, T Botha*, ML Olivier*, JA Burbidge**

*South African **British ***Tanzanian

Mr M Kibati (Group Chief Executive Officer)

STATEMENT OF COMPREHENSIVE INCOME

	Year to 31 Dec 2016 KShs'000	Year to 31 Dec 2015 KShs'000
Gross written premium	5,224,546	5,181,614
Outward reinsurance premium	(392,341)	(384,628)
Net written premium	4,832,205	4,796,986
Investment income	2,518,645	2,388,531
Fair value gains	(450,341)	(637,144)
Fee and commissions earned	74,955	80,220
Other operating income(Including property)	178,610	608,591
Other revenue	2,321,869	2,440,198
Total income	7,154,074	7,237,184

Gross benefits and claims paid	(4,193,984)	(3,620,249)
Reinsurers' share of claims	204,498	96,593
Net change in contract liabilities	(488,981)	(733,559)
Net claims and policyholders benefits	(4,478,467)	(4,257,215)
Cost of Sales	(28,009)	(63,178)
Commission payable	(660,731)	(834,991)
Operating and other expenses	(1,669,594)	(1,466,658)
Impairment of goodwill	-	(564,080)
Total benefits, claims and other expenses	(6,836,801)	(7,186,122)

Profit before share of profit of an associate	317,273	51,062
Share of profit of an associate	(220)	3,263
Profit before tax	317,053	54,325
Income tax expense	(246,430)	(26,975)
Profit for the year after tax	70,623	27,350

Other comprehensive income

Other comprehensive income net of tax:	23,249	-
Total profit and other comprehensive income	93,872	27,350

Comprehensive income attributable to:

Equity holders of the parent	106,061	(61,559)
Non controlling interest	(12,189)	88,909

Earnings Per Share

Basic

Diluted

Shares used for calculating earnings per share	144,000,000	144,000,000
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GROUP STATEMENT OF FINANCIAL POSITION

CAPITAL AND RESERVES

Share capital	720,000	720,000
Revaluation reserve	15,809	-
Statutory reserve	2,814,653	2,184,710
Retained earnings	219,746	811,364
Non-Controlling interest	162,036	85,973
Total capital and reserves	3,932,244	3,802,047

Intangible assets	177,071	129,821
Property and equipment	116,661	134,138
Investment property	2,761,200	2,674,799
Investments in associate	21,572	21,792
Deferred tax	182,721	170,225

Financial instruments:

Loans	930,564	965,495
Held to maturity financial assets	8,836,392	8,069,169
Available for sale financial assets	104,653	80,364
Fair value through profit or loss financial assets	10,566,547	10,039,667
Reinsurance assets	554,983	326,697
Land and development (Inventory)	127,366	77,038
Insurance receivables	550,622	234,576
Income Tax receivable	65,583	27,329
Deferred acquisition costs	150,427	19,776
Receivable and other financial assets	798,792	222,224
Deposits with financial institutions	2,033,481	3,693,324
Cash and Bank balance	463,955	222,844
Total assets	28,442,590	27,109,278

LIABILITIES

Insurance contract liabilities	12,704,048	11,397,467
Market linked insurance liabilities	7,653,977	8,269,515
Payable under deposit administration contracts	1,489,407	1,434,573
Provision for unearned premium	474,115	273,895
Deferred tax	844,396	655,413
Provisions	51,925	51,925
Current tax liabilities	8,668	4,438
Insurance payables	802,471	464,273
Payables and other charges	481,339	755,732
Total liabilities	24,510,346	23,307,231

GROUP STATEMENT OF CHANGES IN EQUITY

Share capital and Share premium	720,000	720,000
Opening reserves	2,996,074	3,173,202
Revaluation reserve	15,809	-
Income attributable to shareholders	90,252	(61,559)
Bonus issue	-	(115,569)
Transactions with minorities	(51,927)	-
Non controlling interest	162,036	85,973
Balance at end of the year	3,932,244	3,802,047

ABRIDGED CASH FLOW STATEMENT

	-	-
Cash flow from operating activities	(2,337,432)	(762,835)
Cash utilised in investing activities	882,375	697,707
Cash flows from financing activities	36,325	-
Net increase in cash resources	(1,418,732)	(65,128)
Cash resources at the beginning of the year	3,916,168	3,981,296
Cash resources at the end of the year	2,497,436	3,916,168

Sanlam Kenya Results

Audited Financial statements for the period ended 31st December 2016

GROUP EMBEDDED VALUE

The embedded value represents an estimate of the value of the group. It excludes the value attributable to minority interests and goodwill attributable to future new business.

The embedded value comprises:

- a) the value of the shareholders' equity net of the cost of the Capital Adequacy Requirement (CAR); and
- b) the value of the in-force business.

The value of the in-force is the present value of future profits arising from business in force at the valuation date, discounted at the risk discount rate.

	31 December 2016	31 December 2015
	Shs'000	Shs'000
Shareholders' adjusted net assets	3,117,325	3,167,136
Net value of in-force	1,572,946	2,053,254
Gross value in-force	2,760,199	3,411,813
Tax provision	(828,060)	(1,023,544)
Cost of CAR	(359,193)	(335,015)
Embedded value at end of period	4,690,271	5,220,390
	-	-

EMBEDDED VALUE EARNINGS

Embedded value at end of period	4,690,271	5,220,390
Embedded value at beginning of period	5,220,390	6,442,567
Change in embedded value	(530,119)	(1,222,177)
Dividends paid	-	-
Embedded value earnings	(530,119)	(1,222,177)

THESE EARNINGS CAN BE ANALYSED AS FOLLOWS:

Adjustment to fair value of subsidiary	(17,972)	(1,130,100)
Roll forward	501,687	422,148
Investment return on free assets	59,770	35,741
Expected return on life business in force	441,917	386,407
Change over the period	(1,013,834)	(514,225)
Value of new business at end of year	(88,203)	108,287
Change in assumptions and methodology	(466,316)	(133,460)
Experience variations	(15,242)	(252,319)
Decrease in NAV for other subsidiaries & associates	(444,073)	(236,734)
Total earnings	(530,119)	(1,222,177)
	-	-
Value of New Business	(88,203)	108,287
Value at point of sale (gross of tax)	(26,287)	53,901
Tax on value at point of sale	34,873	84,644
Cost of CAR at point of sale	(15,363)	(33,735)

ASSUMPTIONS

The main assumptions used are as follows:

1. Economic assumptions

	% p.a	% p.a
Risk discount rate	17.8	19.1
Overall investment return	13.5	14.8
Expense inflation rate	9.8	11.1

2. Other assumptions

The assumptions for future mortality, persistency and premium escalation were based on recent experience adjusted for anticipated future trends.

Notes

a) Changes in assumptions and methodology

Expenses	(227,970)	(46,142)
Mortality	4,899	(2,796)
Persistency	21,458	(15,209)
Commissions	(13,567)	-
Bonus rates	(150,991)	-
Premium Collection	-	(56,148)
Total operational	(366,172)	(120,295)
Modelling Changes	(80,045)	(112,801)
Investment return	(120,168)	316,739
Risk discount rate	100,070	(217,103)
Total	(466,316)	(133,460)

b) Experience variations

Mortality and morbidity	(17,242)	(33,217)
Persistency	835	(125,991)
Expenses and commission	3,942	82,191
Tax Variations	(61,983)	(49,849)
Other	205,053	(20,732)
Total operational	130,604	(147,598)
Investment variances	(145,847)	(104,721)
Total	(15,242)	(252,319)
	-	-

c) Fair value adjustments

Adjustment to fair value of subsidiary	(652,883)	(634,911)
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d) Increase in NAV for other subsidiaries

NAV Increase for other subsidiaries & associates	(444,073)	(236,734)
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SANLAM GENERAL INSURANCE LIMITED

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER, 2016

	2016	2015
	KShs.'000	KShs.'000
INCOME:		
Gross written premium	1,002,200	633,157
Gross earned premium	828,207	618,843
Reinsurance premium ceded	(180,266)	(127,866)
Net earned premium	647,941	490,977
Investment and other Income	901	210,122
Commissions earned	34,709	37,219
Total income	683,551	738,318
OUTGO		
Claims and policyholderbenefits payable	134,653	538,327
Commissions Payable	91,592	67,498
Operating Expenses	481,613	434,886
Total Outgo	707,858	1,040,711
Loss before tax	(24,307)	(302,393)

Taxation credit (Charge)	(12,485)	130,602
Loss for the year	(36,792)	(171,791)
Other comprehensive income:		
Deferred tax on land and buildings	-	48,000
Net gains on available for sale financial assets	23,249	-
Total comprehensive Loss	(13,543)	(123,791)

STATEMENT OF FINANCIAL POSITIONS AS AT 31 DECEMBER, 2016

	2016	2015
	KShs.'000	KShs.'000
CAPITAL EMPLOYED		
Share capital	350,284	350,284
Additional capital awaiting allotment	250,000	0
Statutory Reserve	102,760	102,760
Revaluation Surplus	77,611	54,362
Retained earnings	(274,293)	(237,501)
	506,362	269,905

ASSETS

Property and equipment	23,604	27,810
Intangible assets	11,739	10,763
Deferred income tax	117,296	129,781
Investment property	516,700	1,116,700
Investment in Equity	104,653	81,623
Receivables arising out of reinsurance arrangements	72,612	13,034
Receivables arising out of direct insurance arrangement	272,021	115,726
Reinsurers' share of insurance contract liabilities	420,687	233,492
Other receivables	514,898	9,275
Deferred acquisitions cost	46,004	19,776
Government securities	224,800	207,959
Secured loans to employees	9,578	4,803
Tax recoverable	9,605	8,895
Corporate bonds	15,000	15,000
Deposits with financial institutions	154,759	256,746
Cash and bank balances	71,276	23,584
	2,585,232	2,274,967

LIABILITIES

Insurance contract liabilities	1,414,942	1,512,908
Provision for Unearned premium	474,114	273,895
Payable arising from reinsurance arrangements	77,844	67,394
Other payables	111,577	150,472
Dividends payable	393	393
Total liabilities	2,078,870	2,005,062
Net assets	506,362	269,905

KEY RATIOS (%):

Capital adequacy ratio (capital available/required minimum capital)	234%	151%
Claims ratio (claims incurred/net earned premium)	21%	110%
Expense ratio (total management expenses/gross written premium)	49%	69%
Solvency ratio (actual solvency/required solvency)	93%	-9%
Retention ratio (net written premium/gross written premium)	82%	80%
Commission ratio (gross commission/gross written premium)	11%	11%

SANLAM LIFE INSURANCE LIMITED

	Year to	Year to
	31 Dec 2016	31 Dec 2015
	KShs'000	KShs'000
INCOME		
Gross written premium	4,396,339	4,643,040
Outward reinsurance premium	(212,075)	(266,904)
Net written premium	4,184,264	4,376,136
Investment income	2,267,133	2,158,663
Fair value gains/ (losses)	(91,843)	(767,532)
Fee and commissions earned	40,246	44,572
Other operating income	(67,497)	6,630
Total Income	6,332,303	5,818,473
OUTGO		
Gross benefits and claims paid	(3,685,952)	(3,309,685)
Reinsurers' share of claims	90,054	53,239
Gross change in contract liabilities	(789,009)	(812,637)
Change in contract liabilities ceded to reinsurers	41,091	52,192
Net claims and policyholders benefits	(4,343,816)	(4,016,891)
Commission payable	(569,139)	(761,505)
Operating and other expenses	(789,408)	(703,409)
Total outgo	(5,702,363)	(5,481,805)
Profit before tax	629,940	336,668
Income tax expense	(217,707)	(132,456)
Profit for the year after tax	412,233	204,212
Other comprehensive income		
Total other comprehensive income for the period	-	-
Total Profit & other comprehensive income	412,233	204,212

STATEMENT OF FINANCIAL POSITION

CAPITAL AND RESERVES		
share capital	200,000	200,000
share premium	30,260	30,260
statutory reserve	2,814,649	2,184,707
Accumulated loss	(952,404)	(734,696)
Total shareholders' funds	2,092,505	1,680,271
ASSETS		
Intangible assets	100,481	114,351
Property and equipment	138,418	96,387
Investment properties	2,244,500	1,558,099
Held to maturity financial assets	8,596,592	7,846,210
At fair value through profit and loss	9,492,205	8,665,597
Mortgage Loans	339,445	358,349
Reinsurance assetts	134,296	93,205
Income tax receivable	18,182	12,301
Insurance receivable	206,058	105,816
Other receivables	888,699	418,582
Defered acquisition costs	104,423	-
Cash at bank and in hand	333,674	105,677
Deposits With financial institutions	1,876,823	3,434,679
Total assets	24,473,796	22,809,253



SANLAM LIFE INSURANCE LIMITED

STATEMENT OF FINANCIAL POSITION (Continued)

LIABILITIES		
Insurance contract liabilities	11,289,106	9,884,559
Market linked insurance contract liabilities	7,653,977	8,269,515
Payable under deposit administration contracts	1,489,410	1,434,575
Deferred tax	844,395	655,413
Insurance payable	724,629	396,879
Income tax payable	-	-
Other payables	379,774	488,041
Total liabilities	22,381,291	21,128,982

KEY RATIOS

Capital adequacy ratio(capital available/required minimum capital)	133%	133%
Claims ratio(claims incurred/net written premium)	86%	74%
Expense ratio(total management expenses/gross written premium)	18%	15%
Retention ratio(net written premium/gross written premium)	95%	94%
Commission ratio(gross commission/gross written premium)	13%	16%
Solvency ratio(actual solvency/required solvency)	150%	131%

SANLAM INVESTMENT LIMITED

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2016

	31-Dec-16	31-Dec-15
	Kshs' 000'	Kshs' 000'
Total Income		
Initial Fees	1,894	449
Fund Management Fees	153,954	118,055
Realised gains on investments	-	3,905
Interest Income	-	1,020
Other Income	299	-
Total Income	156,147	123,429
Expenses		
Direct Expenses	15,962	12,587
Legal & Professional fees	100	398
Personnel costs	51,717	50,150
Rent Expenses	1,258	1,440
Operational and Adminstration Expenses	39,085	28,584
Depreciation Expenses	1,980	1,755
Total Expenses	110,102	94,914
Profit before tax	46,045	28,515
Income tax expense	(14,949)	(9,462)
Profit after tax	31,096	19,053

SANLAM INVESTMENT LIMITED

STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2016

ASSETS	31-Dec-16	31-Dec-15
	Kshs' 000'	Kshs' 000'
Non-current assets		
Equipment	5,221	6,070
Intangible assets	2,936	3,222
Deferred tax	4,135	3,503
Total Non Current Assets	12,292	12,795
Current assets		
Cash and cash equivalents	50,549	37,810
Receivables and prepayments	81,964	92,890
Total Current assets	132,513	130,700
Total Assets	144,805	143,495
Equity & Liabilities		
Share Capital	20,000	20,000
Proposed Dividend	36,000	50,000
Retained Earnings	32,140	37,044
Total Equity	88,140	107,044
Current liabilities		
Payables and Accrued expenses	50,494	33,786
Tax payable	6,171	2,665
Total Current liabilities	56,665	36,451
Total Liabilities	56,665	36,451
Total Equity and Liabilities	144,805	143,495
Other Disclosures		
1. Capital strength		
a. Paid up Capital	20,000	20,000
b. Minimum capital required	10,000	10,000
(a-b) Excess capital	10,000	10,000
2. Shareholders' funds		
a. Total Shareholders funds	52,140	57,044
b. Minimum shareholders funds required	10,000	10,000
(a-b) Excess shareholders' funds	42,140	47,044
3. Liquidity		
a. Working capital	75,849	94,249
b. Minimum working capital required	5,000	2,000
(a-b)Excess working capital	70,849	92,249
4. Ratio of unsecured advances to shareholders' funds		
a. Ratio as computed	-	-
b. Maximum allowable limit	10%	10%
5. Ratio of borrowings to paid up capital		
a. Ratio as computed	-	-
b. Maximum allowable limit	20%	20%
a. Ratio as computed	-	-
b. Maximum allowable limit	20%	20%